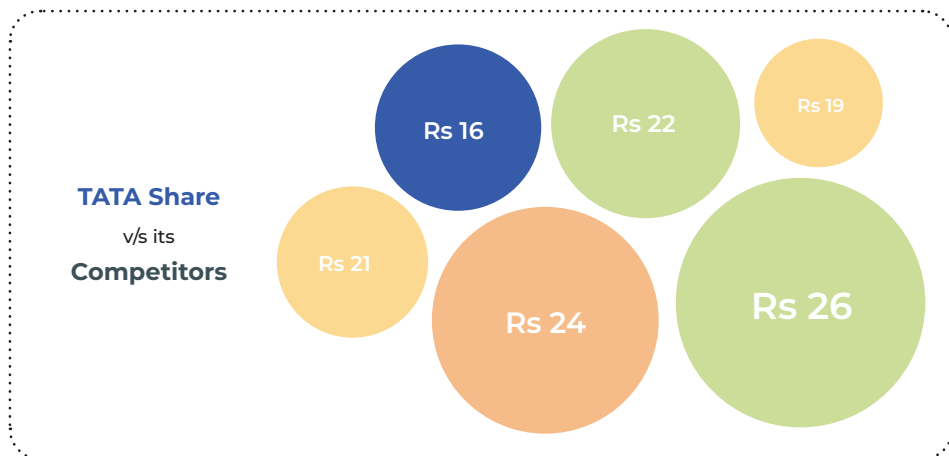


Now let us compare TATA with its competitors in the current scenario. Let us compare their prices to earnings.



This implies that firms from a similar industry are trading at a PE of 19-26.

If the company is trading at a PE of 16, it shows the company is relatively cheap. We will first figure out the reason behind the fall in stock prices. If the company is in a disadvantageous situation, this is justifiable. However, if not, we can conclude that the company is trading at a lower price than its competitors, and thus we can proceed with the purchase of shares.

Conclusion If a stock is relatively expensive then we must wait, have patience and avoid purchasing the stock at that very moment. If the company is relatively cheaper it can be due to changes in the company or sentimental fluctuations in market value.

